

The Need for a More Balanced Policy Approach for Digital Exhaustion

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Abstract

The decisions of the Court of Justice of the European Union (CJEU) in the *Tom Kabinet* case and of the US Second Circuit in the *ReDigi* case seemed to rule out the viability of digital exhaustion for good. The two decisions reached similar conclusions on the basis of a wide array of arguments. The courts attributed different weight to policy and technological arguments as determinant factors justifying the final decisions. It is nevertheless far from certain that the right answer has been reached by the CJEU or the Second Circuit. The judicial development of the exhaustion or first-sale doctrine on the two sides of the Atlantic Ocean represents a laboratory for an interdisciplinary comparative analysis of the evolution of digital copyright law. Such analysis might focus on legal and economic issues. Indeed, it constitutes a “stress test” of the ability of concrete copyright outcomes to keep on fulfilling copyright functions. Against this background, this chapter analyses the policy arguments used by the CJEU and the Second Circuit to support their decisions, employing comparative law methods to verify whether and to which extent the rejection of the digital exhaustion doctrine is consistent with the cause of balance in copyright or necessary for the performance of the full panoply of copyright functions. As we will show, this balance is at least partially upset by the rigid interpretation of the copyright status quo. This is even more visible, if we extend our analysis of legal principles from outside of copyright law, including contract and consumer protection law, as well as social justice arguments, which are also important in the digital domain.

Keywords

exhaustion – first sale doctrine – ReDigi – Tom Kabinet – policy considerations

1 Introduction

The decision of the Court of Justice of the European Union (CJEU) in the *Tom Kabinet* case¹ seemed to have aligned, for once and forever, the European response to digital exhaustion with the stance adopted by the US Second Circuit in the *ReDigi* case.² The two decisions reached similar conclusions on the basis of a wide array of arguments, presenting several similarities and a few divergences motivated by the partially different background (factual pattern and legal rules and principles) underlying them. Due to the differences in judicial styles and the arguments of the parties, the EU and US responses also attributed different weight to policy and technological arguments as determinant factors justifying the final decision.

The judicial development of the principle of exhaustion (EU) or first-sale doctrine (US) on the two sides of the Atlantic Ocean represents a very interesting laboratory for an interdisciplinary comparative analysis of the evolution of digital copyright law. Such analysis might focus on legal (e.g. the discussion of the scope of economic rights, limitations and exceptions, enforcement of rights, ownership) and economic issues (e.g. market realities). Indeed, it constitutes a “stress test” of the ability of concrete copyright outcomes to keep on fulfilling copyright functions, particularly in circumstances where opposite policy and right-based stances are conflicting, and market evidence is not straightforward.

Against this background and the rich legal and economic literature on the topic, this chapter analyses the policy arguments used by the CJEU and the US Second Circuit to support their decisions, employing comparative law methods to verify whether and to which extent the rejection of the digital exhaustion/first sale doctrine is consistent with the copyright balance, necessary for the performance of the full panoply of copyright functions. As we will show, this balance is at least partially upset by the rigid interpretation of the copyright *status quo*. This is even more visible, if we extend our analysis to policy considerations of other fields of law as well as social justice, which are also relevant in the digital domain.

This chapter is structured as follows. First, it briefly summarizes the key facts and the arguments supporting the decisions in the *Tom Kabinet* and *ReDigi* cases. Then, in light of the judgments of the CJEU and the Second Circuit, it revisits the policy considerations favoring digital exhaustion. Third, it looks at

1 *Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet Internet BV and Others*, Case C-263/18, EU:C:2019:1111.

2 *Capitol Records, LLC v. ReDigi Inc.*, 910 F.3d 649 (2d Cir. 2018).



FIGURE 5.1
ReDigi's original website

other considerations that might play a role in the proper balancing of interests underlying the resale of born-digital copies of protected works.

2 Revisiting ReDigi and Tom Kabinet

2.1 *ReDigi*

In the most important American case on digital exhaustion, ReDigi, “the world’s first and only online marketplace for digital used music”³ was sued shortly after launching its service in October 2011.

ReDigi’s original version allowed registered users to upload their legally purchased sound recordings to ReDigi’s Cloud Locker via the company’s Media Manager program. Media Manager detected the uploader’s computer and built a list of eligible files lawfully purchased on iTunes or from another ReDigi user; thus, technologically excluding pirate copies of music files from the system. Simultaneously with the uploading of the file to the Cloud Locker, the content was erased from the source computer. This process was generally termed as “migration” of the file by the defendant. The other function of Media Manager was to continuously double-check whether users retained any copy of the resold files on their computers’ hard drive or on any portable devices synchronized with the computer. If Media Manager detected any file like that, the users were warned to erase said copies. If the users failed to comply with the warning, their account was terminated by the company. After uploading the files to the Cloud Locker, the users had two options: they either accessed their music for personal use or sold them to other users. In the latter situation, the files were stored in the same location in the Cloud Locker. However, the “file pointers” of the content were transferred, and the new purchaser could exclusively access the sound recording. The new user could

3 Capitol Records, LLC, v. ReDigi Inc., 934 F.Supp.2d 640, 644 (S.D.N.Y. 2013).

remotely access the files from his account or download them to his computer. Users paid with credits purchased from ReDigi for each resale. Originally, these credits could not be withdrawn from the users' accounts; they could only be used for further purchases. ReDigi retained 60 percent of the resale price, while 20 percent was allocated to the seller and 20 percent was retained on an escrow fund for the respective artist.⁴

ReDigi's system ensured that the respective music file was always located on one hard drive rather than in multiple locations.⁵ Capitol deemed both the initial migration of files from the sellers' computers to the Cloud Locker and any subsequent migration between two different accounts illegal, and claimed that each step of the migration led to a new reproduction of the original sound recording. As a result, it argued that, since the first-sale doctrine only covers the redistribution and not the reproduction of copyrighted works, ReDigi's users committed copyright infringements, and consequently also ReDigi's services were illegal.

The District Court accepted Capitol's claims. Judge Sullivan noted, first, that sound recordings are protected under US copyright law, and that they are fixed in phonorecords, the material objects "from which the sounds can be perceived, reproduced, or otherwise communicated, either directly or with the aid of a machine or device".⁶ Second, it clarified that they should be deemed as reproduced every time they are fixed in a new material object.⁷

The Court also noted that the electronic file transfer was within the meaning of the right of distribution.⁸ Thus, ReDigi's users infringed both the right of reproduction and the right of distribution when they used the company's service. The only chance to escape liability was to rely on the fair use and the first-sale doctrines. Since both of these are affirmative defenses, the burden of proof rested on ReDigi to prove that its system fits into their realms.

ReDigi failed to successfully rely on either defense. In Judge Sullivan's view, even if users uploaded, migrated, sold, purchased, downloaded and resold the files, ReDigi willingly allowed those acts via the Cloud Locker.⁹ In addition,

4 Ibid., 644–646.

5 This factual statement was, however, disputed by the amici curiae of the MPAA and the RIAA. E.g., Brief for the Motion Picture Association of America (MPAA) and Record Industry Association of America (RIAA) as Amici Curiae in Support of Appellees and Affirmance, at 26, *Capitol Records, LLC, v. ReDigi Inc.*, 910 F.3d 649 (2d Cir. 2018) (No. 16-2321) [hereinafter *ReDigi Amici*].

6 17 U.S.C.A. §101.

7 *ReDigi* (n 2) 649.

8 Ibid., 651.

9 Ibid., 657.

its service model was not deemed to integrate a fair use, for it was considered non-transformative, allowing for the resale of full content, and capable of interfering with the legitimate primary markets of the works.¹⁰ The first-sale doctrine was also considered inapplicable in light of the “new copy theory”, which excludes the operation of the principle when a new copy is generated. In this particular case, the resale of an iTunes track via ReDigi resulted in the creation of a new file on the new purchaser’s computer, which was in fact a new copy and not that “particular” phonorecord privileged under the first-sale doctrine.¹¹

Finally, the District Court also rejected ReDigi’s claim that Capitol’s interpretation of the first-sale doctrine would provide a broader protection to the company than the one envisaged by Congress, arguing that this was a matter for the legislative power to decide by updating copyright law, if necessary.¹²

Although ReDigi timely appealed, the Second Circuit upheld the first instance decision. It confirmed that iTunes tracks (and certainly other digital files as well) are subject to ownership interests, and might be resold under certain circumstances.¹³ Nevertheless, the devil laid – as always – in the details, and particularly in the answer to the leading question – “under what circumstances” can users resell digital files?

The panel stressed that the ReDigi’s model necessitated the analysis of the right of reproduction and right of distribution. Judge Leval sided with the trial court regarding the right of reproduction. He argued that saving files in the Cloud Locker leads to new, unauthorized copies of the respective works unaffected by the migration of the files. Due to the unauthorized copying, the court refrained from digging into deeper details on the distribution aspect of ReDigi’s service. On this basis, the applicability of the first-sale doctrine in the digital environment was ruled out as long as it necessitates any (interim) reproduction.¹⁴

A similar negative answer, confirming the first instance ruling, concerned the applicability of the fair use defense. Judge Leval concluded that ReDigi’s system did not entail transformativeness and was profit-oriented, led to the reproduction and distribution of full files, and its underlying business model was capable to prejudice the legitimate markets of rightsholders.¹⁵

¹⁰ Ibid., 654.

¹¹ Ibid., 655.

¹² Ibid., 655–656.

¹³ Ibid., 656.

¹⁴ Ibid., 656–658.

¹⁵ Ibid., 660–663.

2.2 *Tom Kabinet*

Tom Kabinet launched its platform in June 2014. Initially, it allowed private users to sell and purchase lawfully acquired DRM-free, 'used' e-books.¹⁶ Two publishing associations threatened the platform with a lawsuit only eight days after it started to operate in the Netherlands.¹⁷ After a period of unsuccessful negotiations, the associations sued Tom Kabinet and requested preliminary injunctions against the website. The District Court of Amsterdam rejected the request, claiming that under *UsedSoft*¹⁸ it was not self-evident that the resale of used e-books was precluded under EU law.¹⁹ The Dutch Court of Appeals upheld the earlier judgment; however, it prohibited Tom Kabinet from offering unlawfully downloaded e-books for sale.²⁰ No appeals were lodged against this decision.²¹

On June 8, 2015, Tom Kabinet changed its business model. The company now purchased the e-books either from official distributors or individuals who joined Tom Kabinet's reading club; and sold them to registered members of the reading club. Tom Kabinet encouraged its clients to resell/donate the e-books to the company after they have read the works in exchange of 'credits' and, in case of donation, a 0.99€ discount on the monthly membership fee.²² Clients were required to erase the e-book from their devices simultaneously with the resale/donation.²³ Tom Kabinet also placed digital watermarks on all e-books to indicate the lawful nature of the given copies.²⁴

Based on the changes to Tom Kabinet's business model, the same associations applied to the District Court of The Hague for an injunction to prohibit the platform from offering its services. The court found that Tom Kabinet's service did not constitute a communication to the public within the meaning of

16 Nate Hoffelder, 'Used eBook Website Launches in Europe' (The Digital Reader, 2014) <<http://the-digital-reader.com/2014/06/19/used-ebook-website-launches-europe/>>.

17 Nate Hoffelder, 'Used eBook Website Faces Lawsuit in Europe' (The Digital Reader, 2014) <<http://the-digital-reader.com/2014/06/27/used-ebook-website-faceslawsuit-europe/>>.

18 *UsedSoft GmbH v. Oracle International Corp.*, Case C-128/11, ECLI:EU:C:2012:407.

19 *District Court of Amsterdam, Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet*, C/13/567567/KG ZA 14-795 SP/MV, 21 July 2014.

20 *Court of Appeal of Amsterdam, Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet*, 200 154 572/01 SKG 20-01-2015, NL:GHAMS:2015:66. English translation of the decision in (2015) 16 (2) *Computer Review International* 47.

21 *Nederlands Uitgeversverbond and Groep Algemene Uitgevers (Tom Kabinet)*, Case C-263/18, ECLI:EU:C:2019:697, Opinion of AG Szpunar, para. 19; *Tom Kabinet* (n 20) para. 23.

22 The membership fee ceased to be a requirement following November 18, 2015.

23 Although the proper functioning of such requirement was contested by the Advocate General. See *Tom Kabinet AG Opinion* (n 21), para. 92.

24 *Ibid.*, para. 18; *Tom Kabinet* (n 20), paras. 22–26.



FIGURE 5.2 Tom Kabinet's original website

the InfoSoc Directive.²⁵ The court was, however, uncertain, whether the right of distribution as well as the doctrine of exhaustion applied to the case at hand,²⁶ and whether the service also necessitates the exhaustion of the (inherent) right of reproduction to remain lawful.²⁷ The court therefore referred four questions to the CJEU.

First Advocate General (AG) Szpunar discussed the relevant norms, the CJEU case law, and policy considerations in great detail. While AG Szpunar showed sympathy towards digital exhaustion, he ultimately rejected the concept under all three rationales.

Regarding the *status quo* of exhaustion in the EU, AG Szpunar argued that the umbrella solution introduced by the WCT required the use of the right of communication to the public for the dissemination of immaterial copies over the Internet. AG Szpunar admitted that the reality of markets had significantly changed since 1996 (adoption of WCT) and 2001 (enactment of the InfoSoc Directive), while e-commerce had blurred the distinction between goods and services.²⁸ Nonetheless, he concluded that European legislation clearly followed WCT's logic, as evidenced by the language of recitals of the InfoSoc Directive.²⁹

25 See Article 3 of the InfoSoc Directive.

26 See Article 4(1) and (2) of the InfoSoc Directive, respectively.

27 See Article 2 of the InfoSoc Directive.

28 *Tom Kabinet* AG Opinion (n 21), paras. 35 and 38.

29 *Ibid.*, paras. 33–39.

AG Szpunar doubted whether the distribution right under Article 4 of the InfoSoc Directive applied to the online supply of digital content, as such materials are not subject to ownership interests, and therefore they cannot be sold.³⁰ He also questioned whether exhaustion could limit contractual freedom,³¹ and confuted the validity of the 'new copy theory', stressing that no limitations and exceptions applied to the reproduction of new copies.³²

AG Szpunar also discussed a limited list of CJEU rulings. He analyzed *UsedSoft* in detail, but refused to apply the theory of functional equivalence to e-books,³³ for it found the markets of protected works other than software to be more fragile and exposed to the negative impact of secondary markets.³⁴ On the other hand, he agreed with Tom Kabinet that the *Vereniging Openbare Bibliotheken* ruling of the CJEU on digital lending³⁵ would become meaningless without the application of the principle of digital exhaustion.³⁶ Finally, the AG recalled the CJEU's case law on linking, especially the *Svensson* case,³⁷ and concluded that "that case-law cannot be applied by analogy to the making available of works to the public by downloading".³⁸ In sum, he found the CJEU case law less favorable for e-book resellers.

Finally, AG Szpunar listed the various policy considerations at hand, and accepted, on the one hand, that exhaustion might strengthen competition, lead to more innovation, guarantee privacy and prevent anti-competitive practices. On the other hand, he added, digital copies do not deteriorate; the multiplication of works may pose a risk to competition; it is difficult to verify compliance with rules, especially among end users; it might be difficult to differentiate between lawful and illegal copies; and the whole idea of exhaustion might become obsolete in the wake of streaming services.³⁹ The AG ultimately concluded that such conflicting policy arguments do not allow for overruling the norms in force.⁴⁰

Contrary to the AG Opinion, the CJEU's judgment was almost entirely based on the historic, teleological and systematic analysis of the EU norms. The CJEU found that the *travaux préparatoires*, the recitals of the InfoSoc Directive, and the WCT support the conclusion that the right of communication to the public

30 Ibid., para. 43.

31 Ibid., para. 44.

32 Ibid., paras. 45–48.

33 Ibid., paras. 58–60.

34 Ibid., para. 62.

35 *Vereniging Openbare Bibliotheken v. Stichting Leenrecht*, Case C-174/15, ECLI:EU:C:2016:856.

36 *Tom Kabinet* AG Opinion (n 21) para. 62.

37 *Nils Svensson and Others v. Retriever Sverige AB*, Case C-466/12, ECLI:EU:C:2014:76.

38 *Tom Kabinet* AG Opinion (n 21) para. 74.

39 Ibid., paras. 80–96.

40 Ibid., para. 97.

covers interactive/on-demand dissemination of copies in the broadest sense.⁴¹ The Court also noted that Tom Kabinet's service represented 'communication,' and members of the reading club formed a 'new public,' that is, members of the public who were not taken into account when the e-books were originally sold by the rightsholders.⁴² The CJEU also excluded e-books from the scope of the Software Directive, and, in compliance with the *Nintendo* ruling,⁴³ it argued that the use of the InfoSoc Directive precedes the use of the Software Directive with respect to mixed works (that is, where the work consists of elements that fit under the InfoSoc as well as the Software Directive).⁴⁴ Likewise, it refused to apply the theory of functional equivalence to e-books, arguing that they are perfect substitutes of the original copies as they do not deteriorate with age, and no additional efforts or costs are needed for their resale, thus being capable to negatively affect the original market of rightsholders.⁴⁵

3 Revisiting the Policy Considerations of the Exhaustion Doctrine

The majority of commentators, legislatures and judiciary in the USA and the EU are skeptical of the acceptability of the digital exhaustion doctrine. Revisiting the policy considerations of exhaustion, however, reveals that these considerations are equally applicable to the resale of digital copies.⁴⁶

The three primary policy considerations of the doctrine of exhaustion are the superiority of property rights over copyrights; the reward theory; and the restraint of rightsholders over market control.⁴⁷

The first of these seems to be a particularly hard nut to crack in the digital age. The boundaries of property law are set by statutes and, where relevant, case law. Property rights can therefore be rearranged from time to time to fit. Most recently, the acceptance of the concept of virtual property has been in the focus. Under this concept, end users could exercise property rights over lawfully acquired intangibles, including the right to transfer the ownership of the copies of works. The acceptance of the concept of virtual property might, however, lead to conflicts between various domestic laws, due to the transnational

41 *Tom Kabinet* (n 20), paras. 39–52.

42 *Ibid.*, paras. 70–71.

43 *Nintendo Co., Ltd. and Others v. PC Box and Others*, Case C-355/12, ECLI:EU:C:2014:25.

44 *Tom Kabinet* (n 20), paras. 54. and 59.

45 *Ibid.*, para. 58.

46 Caterina Sganga, 'A plea for digital exhaustion in EU copyright law', (2018) 9 (3) *JIPITEC* 211, 231–232.

47 Péter Mezei, *Copyright Exhaustion: Law and Policy in the United States and the European Union*, Second Edition (Cambridge University Press 2022) 13–14.

nature of the use of digital files. Even more, in light of the European Union's community wide exhaustion doctrine, the acceptance of virtual property would necessitate the reconsideration of how digital files could be 'regionally distributed' over the internet.

The other two primary policy considerations can apply without any doubt in the digital copyright context. The rationale of the reward theory is that rightsholders are not entitled to any reward related to acts of distribution following the first lawful sale of the given copy.⁴⁸ This is why rightsholders have to proactively set the initial price of the copies of their works. The fact that digital copies can be reproduced without any loss of quality, does not exclude the applicability of the reward theory in the digital domain, supposing that copies are uniquely identifiable.

Similarly, the restraint of rightsholders over market control should also apply in the digital environment. The legal system should guarantee that new actors can enter the market. This is advantageous for several reasons. From an economic perspective, it leads to competition, which in turn is the best mechanism for the moderation of prices and the acceleration of innovation.⁴⁹ This policy argument is directly backed by the rules on free movement of goods within the EU.⁵⁰

Exhaustion is backed by various secondary or indirect policy considerations as well.⁵¹ For example, enforcing a digital exhaustion doctrine can potentially increase the affordability and the availability of protected subject matter. Pay-per-use models allow for cheaper access;⁵² however, under these models no ownership interests are acquired by consumers. Those who want to obtain a permanent copy of the work would have to dig deep into their pockets. Even though they pay much more for access, these acquirers cannot expect to retrieve any money that they spend on the acquisition of the digital copy. The terms and conditions of the EULAs of Apple's iTunes or other services typically exclude the right to transfer the copies to third parties. Furthermore, the consumption of cultural goods on streaming portals may contribute to the long-term fall-off of the number of permanently sold copies. Conversely,

48 Katharina de la Durantaye & Linda Kuschel, 'Der Erschöpfungsgrundsatz – Josef Kohler, UsedSoft, and beyond', (2016) 8 (2) *Zeitschrift für Geistiges Eigentum – Intellectual Property Journal* 195, 212.

49 Muhammad Masum Billah, 'Resale of digital works under copyright laws: A legal and economic analysis', (2018) 18 (2) *John Marshall Review of Intellectual Property Law* 123, 127 and 131–132.

50 de la Durantaye & Kuschel (n 48) 210.

51 Mezei (n 47) 14–16.

52 Some pay-per-use models are cited by the amici curiae of the RIAA and MPAA as well. See *ReDigo* Amici, pp. 16–18.

this may lead to increases of the retail price of individual copies, as well as to reduced accessibility of the preserved copies. Such practices might have a chilling effect on public lending of works or on the access to the out-of-commerce works.⁵³ Accessibility of used copies of works can also serve altruistic purposes.⁵⁴ Sharing is caring; the ability to donate copies to secondary users or engaging in e-lending can increase social justice and welfare, as well as cultural democracy.⁵⁵

Accessibility (of at least “used” copies via second-hand markets) might become an even more pressing need in and after the Coronavirus SARS-CoV-2 (COVID-19) pandemic. World IP policy leaders may need to get ready to introduce “emergency IP norms” at some point. COVID-19, and the extensive legal, social and economic limitations imposed by governments during 2020 and 2021 shed light on the vulnerability of the existing IP order. COVID-19 led to significant social distancing, affected remote education, media consumption and the copyright industry’s existing business models (especially related to the production and dissemination of content), and it also accelerated the disappearance of offline retailers.⁵⁶ The growing need for online consumption and the slowly vanishing,⁵⁷ but still existing interests of consumers toward ownership may also support the application of the exhaustion doctrine to copies supplied via the Internet.

The preservation of cultural heritage by public institutions is also endangered in the Internet age. These institutions access digital content, especially e-books, under license agreements that include considerable use restrictions, including the prohibition of transfer and acquisition of used e-books. Nevertheless, it could be important to allow cultural institutions to purchase lawfully sold digital content on downstream markets. This way, libraries could fulfil their aims of preserving and disseminating cultural heritage and they could also effectively mitigate the piracy of e-books. Studies have also shown that free access to e-books may actually boost e-book sales.⁵⁸

53 Marco Figliomeni, ‘The song remains the same: Preserving the first sale doctrine for a secondary market of digital music’, (2014) 12 (2) *Canadian Journal of Law and Technology* 219, 237–238.

54 Billah (n 49) 128–129.

55 Yoonmo Sang, ‘Revisiting copyright theories: Democratic culture and the resale of digital goods’, (2018) 29 (3) *Communication Theory* 277.

56 Liz Alderman, ‘Along the Seine, booksellers try to hold off an unhappy ending’, *The New York Times*, (Nov. 7, 2020), <www.nytimes.com/2020/11/07/world/europe/france-paris-seine-books.html>.

57 Sabrina V. Helm, Victoria Ligon, Tony Stovall & Silvia Van Riper, ‘Consumer Interpretations of Digital Ownership in the Book Market’, (2018) 28 (2) *Electronic Markets* 177, 178.

58 Rachel Ann Geist, ‘A “licence to read”: The effect of e-books on publishers, libraries and the first sale doctrine’, (2012) 52 (1) *IDEA* 63, 97.

The acquisition of e-books under a digital exhaustion doctrine could not be the result, but rather the means to fulfil other tasks of libraries, such as the lending of digital content to patrons; even if the limited approach followed by the CJEU in *Tom Kabinet* can practically limit libraries in fulfilling these public social goals.

In the US, the first-sale doctrine has traditionally served the basis for free public lending of books by libraries.⁵⁹ However, e-books are marketed by US publishers under strict license agreements; so that libraries are unable to exercise their rights under the Copyright Act of 1976 freely.⁶⁰ Licenses for e-lending might be acquired from major book suppliers (e.g., OverDrive, 3M or Baker & Taylor).⁶¹ In sum, both in the EU and the USA, e-lending is subject to serious limitations and is provided independently from the concept of a digital exhaustion doctrine.

A digital exhaustion doctrine could be beneficial for the transparency of transactions. This is especially true only if copies with unique ID numbers can be resold lawfully.⁶² In this situation, the chain of title could be technologically controlled. This would guarantee that the digital exhaustion doctrine is not misused by resellers. Furthermore, this would allow for a growing trust in the whole copyright system by creating a balanced environment, where both rightholders' and consumers' interests prevail. Finally, a digital exhaustion doctrine would guarantee that lawful acquirers of digital copies of works are not technologically "locked-in", in other words, irreversibly connected to the original retailer's service or hardware.

4 The Need for a(n Even) More Nuanced Approach for Digital Exhaustion

The direction from which we look at digital exhaustion, the level of flexibility in the interpretation and application of statutes as well as the policy considerations that we treat as superior to others have commanding relevance for this doctrine. Let us shortly sum up those further policy considerations that might work as starting points to support reconsidering the exhaustion doctrine to fit for the digital age.

59 Ibid., 70–75.

60 Ibid., 94.

61 Aaron Perzanowski & Jason Schultz, *The End of Ownership – Personal Property in the Digital Economy* (MIT Press 2016) 108.

62 Compare to Mezei (n 47) 191–194.

4.1 *The Need for a Concise Theory of Exhaustion*

Exhaustion has never been properly theorized. It is regularly called to be a limitation, an exception, an exclusion, an exemption, a restriction, an implied license, a doctrine or a principle. There is also a lack of consensus in much of Europe as to whether exhaustion represents any “right” of the user or it solely creates limits on enforcement of the right of distribution against the owners of the copies of works.

This concept represents a *special limitation* to the right of distribution.⁶³ As such, exhaustion shall benefit from the doctrinal flexibilities developed by the CJEU related to other limitations and exceptions, especially the ‘user rights’ approach. This approach relies on the fundamental rights of end-users, for example the freedom of expression, and it offers the effective application of such limitations against rights holders’ exclusive rights.

The situation is different in the USA. The first-sale doctrine is expressly treated to be an affirmative defense. As such, the doctrine might only be applied as a defense against the plaintiff’s allegation of unlawful use. More precisely, following the plaintiff successfully proved an infringement of its copyright (unauthorized distribution), the burden of proof will be on the defendant’s side to evidence lawful acquisition and lawful resale.⁶⁴ Such affirmative defense status of the first sale doctrine has indirect negative consequences for the users in the USA. Undoubtedly, the first sale doctrine gives standing and an impression of “user rights” to lawful owners, but the exercise or enforcement of this limitation requires a lengthy and costly procedure, practically depriving (many) end-users from the reliance on the statutory flexibility.⁶⁵

Let us also refer to a contemporary example here. Non-fungible tokens (NFTs) have become one of the hottest buzzwords of the pandemic period. In a judgment, published in June 2022, Pelling QC stated that “[t]here is clearly going to be an issue at some stage as to whether non-fungible tokens constitute property for the purposes of the law of England and Wales, but I am satisfied on the basis of the submissions made on behalf of the claimant that there is at least a realistically arguable case that such tokens are to be treated as property as a matter of English law”.⁶⁶

63 Ibid., 16–21.

64 H.R. Rep. (1976) 80–81; *United States v. Goss*, 803 F.2d 638, 644–646 (1986); *Adobe Systems Inc. v. Stargate Software Inc.*, 216 F.Supp.2d 1051, 1079 (2002); *Vernor v. Autodesk, Inc.*, 621 F.3d 1102, 1107 (2010).

65 Interestingly, the Canadian Supreme Court declared the country’s fair dealing rules a user right, by claiming that fair dealing is “an integral part of the Copyright Act rather than simply a defence.” *CCH Canadian Ltd. v. Law Society of Upper Canada*, 2004 SCC 13, para. 48.

66 *Osbourne v. Persons Unknown and Ozone* [2022] EWHC 1021 (Comm), para. 13.

While Pelling QC's argument is only a dictum and his opinion was issued on a restraining order filed *ex parte*, it was still the first judicial opinion that asserted the potential legal ownership of NFTs.⁶⁷

This opinion was made only more than a year after the whole NFT craze started with the first multi-million dollar sales of tokens in early 2021.⁶⁸ More importantly, the proprietary protection of NFTs might necessitate us to rethink the purportedly settled issue of "digital ownership" or – also connected to that – the role and meaning of the doctrine of exhaustion in the digital domain.

4.2 *More Pragmatism Regarding Economic Rights*

It might be a right approach not to focus on the limitations of exclusive rights but to minimize the scope of those rights so that *de minimis* or personal uses are excluded from the scope of economic rights. Such an approach was followed by the CJEU in *Svensson*, where hyperlinking was excluded from the scope of the communication to the public right due to the absence of a new public. This judgment was applied consistently by the CJEU in *Tom Kabinet*, but it led to a counterintuitive result. Unlike in the completely public scenario of hyperlinking, the exchange of individual e-books occurred on a peer-to-peer (closed) basis in *Tom Kabinet*. The simultaneous exhaustion of the right of reproduction would make a lot of sense in 21st century digital copyright law. However, courts, including the Second Circuit in *ReDigi*, are regularly reluctant to reach such a conclusion.

As a rare exception to the trend represented by *ReDigi*, in a case on royalties for making works available to the public via the internet, the Supreme Court of Canada decided on 15 July 2022 that payment is due only under one of the three economic rights under section 3(1) of the Canadian Act, and that "Distributing functionally equivalent works through old or new technology should engage the same copyright interests [...]. For example, purchasing an album online should engage the same copyright interests, and attract the same quantum of royalties, as purchasing an album in a bricks-and-mortar store since these methods of purchasing the copyrighted works are functionally equivalent. What matters is *what* the user receives, not *how* the user receives."⁶⁹

67 Shortly after this, in *Janesh S/O Rajkumar v. Unknown Person* ('Chefpierre'), the sale of certain NFTs was halted by an injunction of the Singapore High Court as well. This ruling is also claimed to confirm the property nature of NFTs under the law of Singapore.

68 Balázs Bodó, Alexandra Giannopoulos, Péter Mezei & João Pedro Quintais, 'The rise of NFTs: These aren't the droids you're looking for', (2022) 44 (5) *European Intellectual Property Review* 267.

69 *Society of Composers, Authors and Music Publishers of Canada v. Entertainment Software Association*, 2022 SCC 30, para. [63], emphasis in the original.

Although the Canadian judgment is factually different from the exhaustion case law, it highlights that it makes a lot of sense to follow a pragmatic approach regarding economic rights. The SCC's decision is convincing in concluding that when uses trigger various economic rights by a single activity, users shall only be subjected to the primary/superior right relevant for the given use. In our instant case this means that internal and typically temporary copies made on distinct machines to effectuate any sale or resale of digital content between end-users are an integral, but secondary elements of the complete process of electronic distribution. Consequently, the intermediate reproduction should be bypassed in the legal evaluation of the given use. Copyright doctrine should focus on the proper categorization of the "sale" itself.

4.3 *More Room for Property and Consumer Protection Laws*

The underlying contractual stipulations must be interpreted in a more balanced way. In *UsedSoft*, like in some US court decisions,⁷⁰ license agreements might be transformed into sales contracts. In this way, acquirers' interests – including consumer protection warranties – could override licensors' broad terms and conditions, and misleading terminology could be evaded to support consumer expectations (and conformity). Alternatively, instead of verbal gymnastics with contract law, the default bifurcated approach of the EU towards contracts for the sale of goods versus contracts for doing of services could be supplemented by a third type of contracts on the 'online sale' of digital copies of protected subject matters.⁷¹

Although this third transaction type might necessitate the creative interpretation of property law, we already have the precedents for that. First, in academic literature, Yves Gaubiac noted as early as in 2000 that the dematerialization of works and the advancement of online uses made it necessary to appropriately categorize the supply of digital content via the Internet.⁷² This opinion found its way to case law via Advocate General Kokott's Opinion in *FAPL*.⁷³ Later, and more importantly, the CJEU declared intangible computer

70 United States v. Wise, 550 F.2d 1180 (1977); *SoftMan Products Co. v. Adobe Sys. Inc.*, 171 F.Supp.2d 1075 (2001). The case law of the USA is nevertheless mainly hostile to this approach. Compare Mezei (n 47) 117–121.

71 Cf. Hannibal Travis, 'The Principles of the Law of Software Contracts: At Odds with Copyright, Consumers, and European Law?', (2010) 84 (10) *Tulane Law Review* 1.

72 Yves Gaubiac, 'The exhaustion of rights in the analogue and digital environment', (2002) 36 (4) *Copyright Bulletin* 2, 10.

73 *Football Association Premier League, Ltd. and Others v. QC Leisure and Others, and Karen Murphy v. Media Protection Services Ltd.*, Joined Cases C-403/08 and C-429/08, ECLI:EU:C:2011:43, Opinion of AG KOKOTT (3 Feb. 2011), paras. 184–188.

programs to be subject to transfer of ownership in *UsedSoft*.⁷⁴ Certain digital assets including cryptocurrencies might also be owned in various jurisdictions.

The legal distinction between the online supply of software and other subject matter necessarily leads to tensions with other legal norms, especially consumer protection law. As we have seen above, the European Union's directive on consumer protection treats the online supply of content equally – irrespective of the copyright status of the works. Consumers can have a valid claim to have their purchases treated on an equal footing – and for the doctrine of exhaustion to apply to lawfully acquired copies of subject matter other than software, too. This argument has been accepted by a recent trial court ruling in France. In *Union Fédérale des Consommateurs*, an association representing consumers' interests successfully claimed that a leading computer games producer's strict limitations on the resale of lawfully acquired computer games was in tension with French consumer protection laws. The French court also held that such computer games (in compliance with the CJEU's *Nintendo* ruling), as mixed works, fell under the scope of the InfoSoc Directive, rather than the Software Directive. Consequently, consumers/end-users should be allowed to dispose of the copies they downloaded from a website after tendering payment under the doctrine of exhaustion.⁷⁵ If this ruling is confirmed by the court of appeals, it will be able to serve as solid grounds for a 'consumer-law-based doctrine of exhaustion' on a European level.

In sum, a consumer- or end-user-oriented approach, which provides "copyright benefits" in case one enters into an online contract for the provision of digital content representing protectable subject matter, would be a balanced solution to the stalemate of the service versus goods dichotomy. To reach that goal, property and consumer law could play a greater role in digital copyright law.⁷⁶

74 *UsedSoft* (n 18) paras 45–46.

75 Tribunal de Grande Instance de Paris, *Union Fédérale des Consommateurs – Que Choisir v. S.A.R.L. Valve*, N° RG 16/01008 (17 Sept. 2019). This judgment, was decided before *Tom Kabinet*, has been appealed, but still has not been decided by the court of appeals as of writing the present chapter. Consequently, we shall agree with Dimita et al. that "it is too early to tell whether [the first instance decision] will have any effect outside of France". See Gaetano Dimita, Yin Harn Lee & Michaela Macdonald, 'Copyright infringement in the video game industry' (WIPO ACE, 2022) <https://www.wipo.int/edocs/mdocs/enforcement/en/wipo_ace_15/wipo_ace_15_4.pdf>.

76 Most recently, Simon Geiregat discussed exhaustion from this direction. See Simon Geiregat, *Supplying and Reselling Digital Content – Digital Exhaustion in EU Copyright and Neighbouring Rights Law* (Edward Elgar Publishing, 2022).

4.4 *The Non-discriminatory Application of the Technological Neutrality Principle*

The EU has long applied the principle of technological neutrality in an inconsistent manner. It has regularly been used to extend the scope of economic rights in the digital era, but limitations and exceptions have typically been interpreted in a technologically biased manner. This might change soon, as the CJEU, in *Austro-Mechana*, has recently expressed the need for a technologically neutral interpretation of limitations and exceptions as well, in order to keep copyright law up-to-date with technological changes.⁷⁷ One might, nevertheless, argue that this single opinion is not enough to shelter end-user interests regarding the dissemination of content in the digital age. Private copying, the flexibility being addressed in *Austro-Mechana*, is a statutorily compensated limitation of the reproduction right. Whether the technologically neutral interpretation of that right is equally applicable for the distribution and communication to the public right, is far from settled.

As of now, there is a gap in EU law between the scope of exclusive rights and the limitations and exceptions to the unnecessary detriment of end-users. We know from Canadian law that technological neutrality is a proper way to keep copyright balanced. The same Canadian judgment cited above stressed that “where a novel technology emerges that has no clear traditional equivalent [...] courts must look at what that new technology does to the substance of the work by examining which, if any, of the copyright interests in section 3(1) are engaged by this new method of distributing a work. If that new technology gives users durable copies of a work, the author’s reproduction right is engaged. If the new technology gives users impermanent access to the work, the author’s performance right is engaged”.⁷⁸

Current trends expand the scope of the communication to the public right to the detriment of e.g. the right of distribution. At this point, we should put aside the economic realities of the ‘streaming wars’, that is, whether the constant growth of the user bases and the revenues of streaming platforms are sustainable at all. The key problem with the overemphasis of streaming is that it not only reflects (again) the present-day copyright realities of an ever-changing economic environment, but also limits the breathing space for external innovations (models coming from non-mainstream actors, like start-ups). Consequently, it hinders the development of new business models,

77 Compare to *Austro-Mechana Gesellschaft zur Wahrnehmung mechanisch-musikalischer Urheberrechte Gesellschaft mbH v. Strato AG*, Case C-433/20, ECLI:EU:C:2022:217, para. 27 *et seq.*

78 2022 SCC 30 (n 69), para. [70].

which are, ultimately, alternative ways to preserve and access culture. And this may become a problem during the development of blockchains, web3 or the metaverses. These models are designed to eliminate (to a certain degree) the legacy middlemen, allowing end-users to independently decide on their virtual assets in a way that echoes property interests. Furthermore, users of some blockchain systems purposefully invest in tokens in the hope of returns upon the future disposal of those tokens. If we come to treat a token that is a kind of authentication of certain interests encoded in the blockchain to be subject to ownership, how could we effectively argue that a digital file embodying the subject matter itself is not representing any proprietary interests?

5 Conclusion

If we revisit *ReDigi* and *Tom Kabinet* once again, we might spot two issues that raise concerns with regards to the Second Circuit and the CJEU decisions.

First, both courts turned out to be technologically – and consequently economically – biased. To be more precise, on the one hand, both courts refused that the technological solutions applied by the defendants guarantee the trading of content in a manner that is technologically equivalent with offline markets, and, consequently, their services were excluded from the scope of the doctrine of exhaustion. On the other hand, both courts argued that exhaustion might come into play even in the present digital environment. The two rulings are, however, far from being true solutions for the internet age, even though the Second Circuit stated in dicta that “other technology may exist or be developed that could lawfully effectuate a digital first sale.”⁷⁹

The CJEU applied the following syllogism: “[i]n the present case, having regard to the fact, noted in paragraph 65 of the present judgment, that any interested person can become a member of the reading club, and to the fact that there is no technical measure on that club’s platform ensuring that (i) only one copy of a work may be downloaded in the period during which the user of a work actually has access to the work and (ii) after that period has expired, the downloaded copy can no longer be used by that user [...], it must be concluded that the number of persons who may have access, at the same time or in succession, to the same work via that platform is substantial”.⁸⁰ In essence, the CJEU’s syllogism might be in line with the *ReDigi* judgment to mean, both with respect to *Tom Kabinet* specifically and any other service provider in general,

⁷⁹ *ReDigi* (n 2) 659.

⁸⁰ *Tom Kabinet* (n 20) para. 69.

that the employment of an effective forward-and-delete technology render a certain service compatible with the doctrine of exhaustion.⁸¹

While this conclusion might, at first sight, support the position of exhaustion advocates, they turned out to be useless for the defendants in the two cases. ReDigi has been shut down due to the lack of funding of continued operations, even if they have developed their version 2.0 that seemed to be compliant with the Second Circuit's dicta. Similarly, in *Tom Kabinet*, the referring Dutch court presented the facts of the case in its referral for a preliminary ruling to the direct opposite of Tom Kabinet's model,⁸² and hence made defendant's position in this regard inexcusable.

This conclusion of the courts was also supported by arguments regarding the possible threats to the plaintiffs' business models.⁸³ Such opinion is, however, equally troubling: exhaustion is designed to open the door for downstream commerce. Such commerce affects the original market for protected content naturally and necessarily. Such "threat" was, however, historically treated as an acceptable burden to be borne in order to serve a more important end goal: to guarantee access to information.

In sum, such technologically and economically misleading interpretations of defendants' services have direct chilling effects on digital services or business models.

Second, neither the Second Circuit, nor the CJEU has paid close attention to the essence of AG Szpunar's conclusion, namely, "that arguments, of both a legal and a teleological nature, are in favor of recognition of the rule of exhaustion of the distribution right with respect to works supplied by downloading for permanent use."⁸⁴ Needless to say, it is only a question of time when policy and practical arguments might reach a point where they are not only in favor of digital exhaustion, but represent a compelling need to amend the existing copyright legislative status quo in that direction.

To sum up, elsewhere, one of us described digital exhaustion as a ride on a roller coaster with ups and downs and sharp turns. The doctrine is a mentally fascinating tour of legal interpretation, systematic analysis, and interest balancing, which ultimately addresses some of the most urgent questions on

81 In greater details see Mezei (n 47) 139–140.

82 Philipp Homar, 'Unzulässigkeit der Weiterveräußerung von E-Books – Schlussfolgerungen aus EuGH C-263/18 – Tom Kabinet' (2020) 38 (1) *Medien und Recht* 27, 29–30.

83 *ReDigi* (n 5) 660–663. The CJEU went even further by declaring that "a parallel second-hand market would be likely to affect the interests of the copyright holders in obtaining appropriate reward for their works." See *Tom Kabinet* (n 20), para. 58. This opinion is in direct conflict with the ultimate goal of the doctrine to enhance secondary markets.

84 *Tom Kabinet*, Opinion of AG Szpunar (n 21) para. 98.

the future of copyright law. Critical voices quite often forget that the doctrine of exhaustion was the first copyright concept to be accepted by the European Court of Justice. The *Deutsche Grammophon* judgment made clear the importance of and need for it in a regional copyright system.⁸⁵ Although the technological and social developments of the last decades transformed copyright law into an advanced mechanism, old(er) concepts and doctrines that long worked as foundations of this system may not be irrevocably put aside. The idea of digital exhaustion could still trigger, similarly to its analogue version, the recalibration of copyright law in the digital single market. Be it NFTs or any other virtual property-focused technological and business development, putting exhaustion back on the agenda might bring new hopes for a sustainable future development of the copyright balance.

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85 *Deutsche Grammophon Gesellschaft mbH v. Metro-SB-Großmärkte GmbH & Co. KG*, Case 78/70, ECLI:EU:C:1971:59.

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